

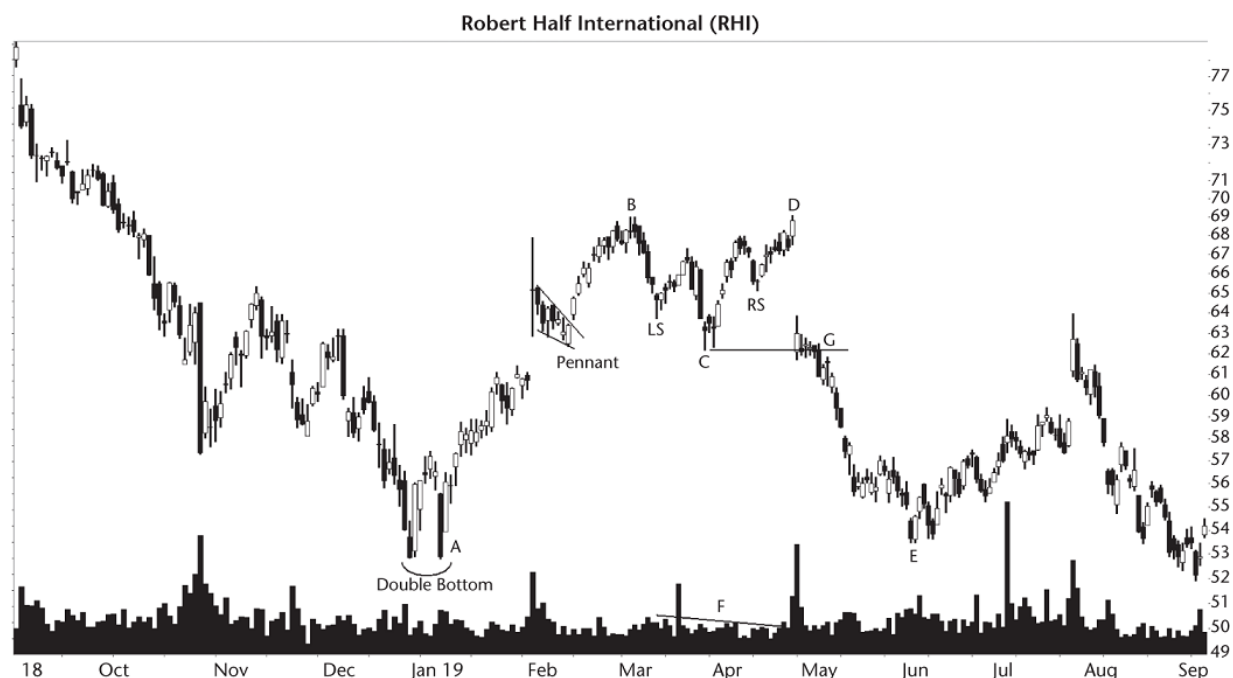


Figure 6.2 This big M (BD) struggles to find a bottom between the two peaks (where a head-and-shoulders bottom appears).

Between the two peaks, price forms a valley. I didn't set a limit on how far down the valley price slides, but the median height is about 12% in bull markets.

After the second peak, price drops, but often won't fall as steeply as it climbed on the rise to the first peak. In perfect patterns, the slope of the rise to the first peak will mirror the drop after the second peak, as I mentioned. In real life, it takes twice as long to drop from the second peak to the ultimate low as it did to climb from the launch price to the first peak.

Price trend. The price trend leading to the first peak should be unusually tall, often a straight-line run up at a steep slope. As a good gauge, I looked at the height from the higher of the two peaks (D) to the valley between the two peaks (C). The upward trend leading to the first peak (A to B) should be a multiple of the peak to valley height (at least one times the height, but two times is better, CD).

Volume. Volume trends downward from the first to the second peak most often. Don't discard a big M pattern because it has a rising volume trend. Volume doesn't affect performance. We'll see that later in [Table 6.6](#).